



monday.com Ltd. (NASDAQ: MNDY)

Recommendation: **SHORT**

Price as of October 13th, 2025: **\$185.65**

Implied Downside: **85.1%**

Investment Horizon: **2 years**

Scarlet Hedge

Team Members:

Will Surett

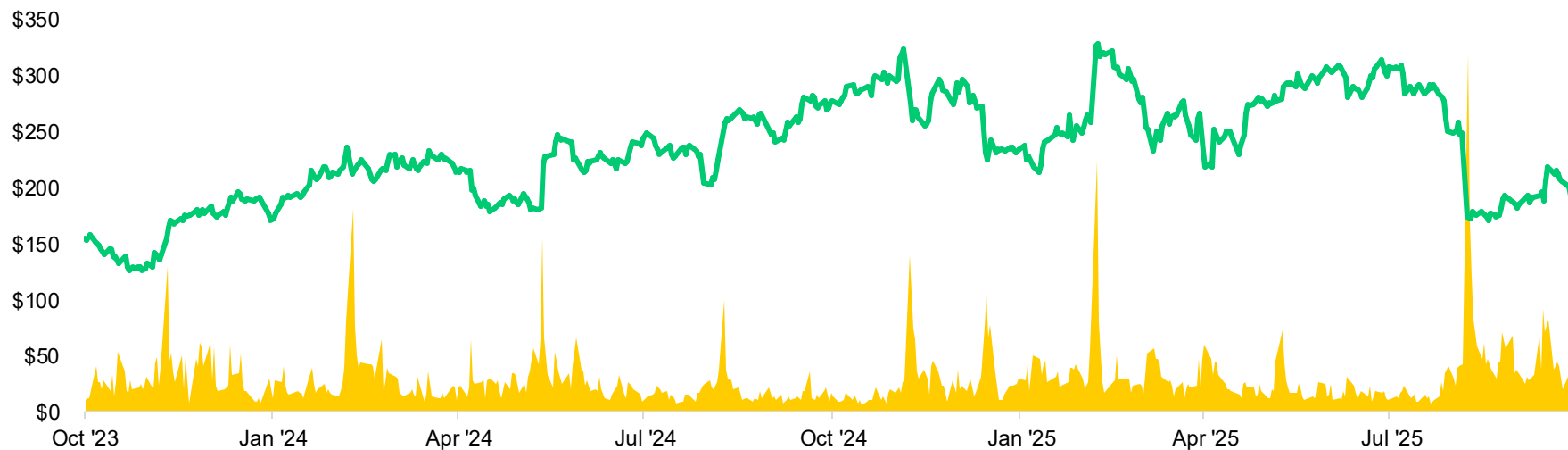
Natalie Rameas

Aarav Jain

Investment Overview



2-YR Stock Performance (1)



Our Variant View

Unsustainable Growth

- Momentum is **more show than substance**—new SKUs and campaigns mask a shallow core
- The business **widens** across features but doesn't **deepen** usage; customers dabble, few truly expand
- Enterprise doors open, but **workflows don't stick**, switching is hard, and Monday isn't mission-critical yet
- Heavy spend keeps the flywheel spinning; **real operating leverage never shows up**

AI Narrative Overstated

- **The story runs ahead of reality**—Monday's design limits real intelligence and monetization
- **Not a system of record**: templates over structure → brittle at scale
- **Data debt**: open-ended fields create duplicated, conflicting schemas
- **Breadth without depth**: CRM/Service/Dev are lightweight vs. specialists
- **AI reality**: messy inputs → surface-level assistants, **no visible P&L lift**

Disconnected Valuation

- Market prices Monday like a **platform comp (Salesforce/Atlassian)** **Data debt**: open-ended fields create duplicated, conflicting schemas
- But **Rule-of-40 reality ~32, not 60** — operating leverage runs in reverse
- FCF trajectory incompatible with AI-platform multiple
- Our DCF illustrates this picture

Overview

Narrative

Thesis

Catalysts

Valuation

Outlook

Inside monday.com: Products, Mix, and Metrics



monday.com's Offerings

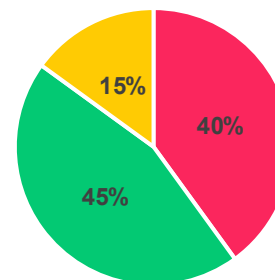
Monday.com operates a cloud-based Work Operating System (Work OS) enabling teams to manage workflows, projects, and automations

4 Main Product Lines

Work Management	CRM	DEV	Service
Core project & workflow hub driving user adoption and expansion	Simple, no-code sales pipeline built for SMB and mid-market users	Agile planning and sprint tracking tool for software teams	IT and operations system integrating automation
~70 - 85% of ARR	~10 - 12% of ARR	~3 - 7% of ARR	~2 - 4% of ARR

Business Breakdown (2)

Expense Breakdown (% of Revenue)



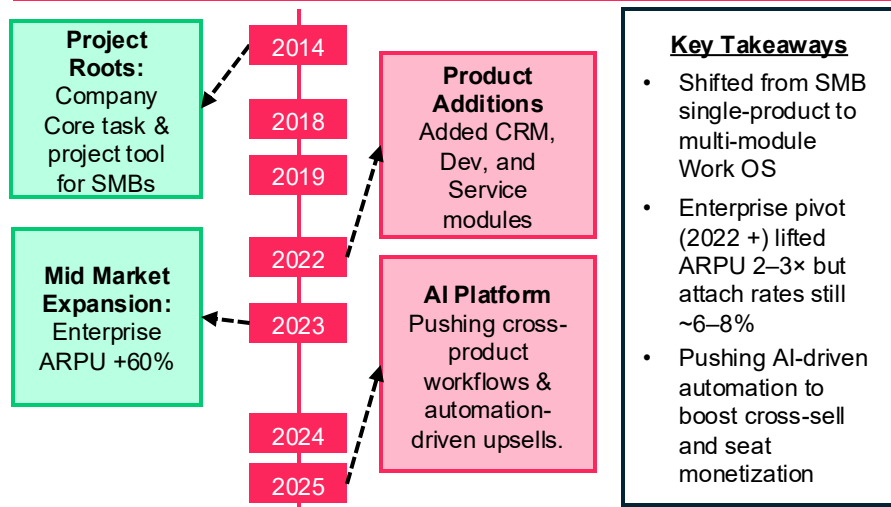
■ R&D ■ Sales & Marketing ■ G&A

Revenue: \$972M (+33% YoY), reaching \$1B+ ARR milestone

Expense mix: S&M ~55%, R&D ~22%, G&A ~15% of revenue

Net Dollar Retention: ~112%, driven by seat expansion and enterprise upsells

Evolution of the Business Model



Performance and Key Metrics Over the Years (1)

ARR ~\$1.0B (YoY) ▲	Net Dollar Retention ~112% (enterprise mix)	Gross Margin ~89-90% (stable)
S&M / Rev ~50-56% (Improving YoY)	R&D YoY ~+38 - 40% (FY24, Non-GAAP)	FCF Margin FY24 ~-30% Q4 ~ 27% (seasonality/WC)

*The journey to \$1B ARR delivered solid unit economics (NDR 112%, GM ~90%), yet the company's past upgrades were driven more by **pricing/seat mix and new SKUs** than by **cross-sell**—leaving future Rule-of-40 improvement contingent on real **multi-product penetration**, not just expansionary spend.*

Overview

Narrative

Thesis

Catalysts

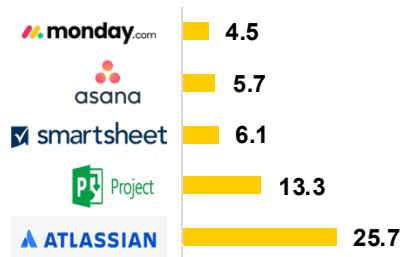
Valuation

Outlook

Industry Context

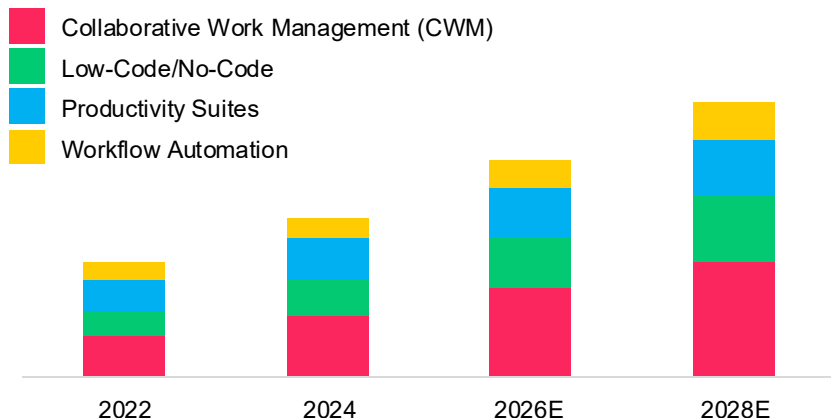


Key Players



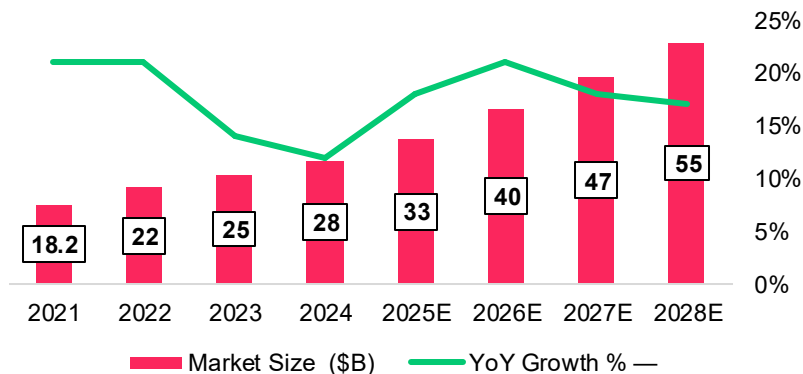
The Work Management & Collaboration Software industry is expanding as enterprises digitize workflows and adopt hybrid work models; adoption is strongest in mid-market firms, but enterprise penetration remains low

Convergence of Adjacent Segments (2022–2028E) ⁽²⁾



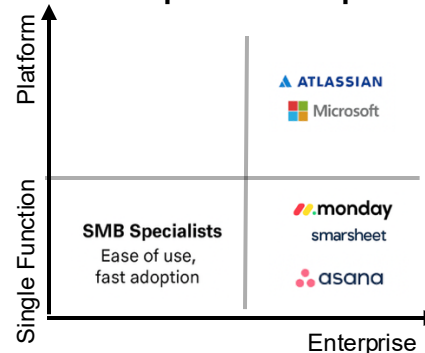
Broader workflow market to hit **~\$67B by 2028E**, with CWM at **~40% (~\$27B)**. **Low-code & automation** grow fastest at **~20–25% CAGR**, doubling share since 2020. **Productivity suites** still hold **~25–30%** of spend but face slowing incremental growth

Work Management Market Growth (2021–2028E) ⁽¹⁾



Competitive Positioning

Platform Depth vs. Enterprise Scale



Despite offering one of the broadest product suites in its peer group, **Monday.com's** enterprise adoption remains limited due to shallow platform integrations and lower automation depth.

Ecosystem incumbents (Atlassian, Microsoft) dominate enterprise via integrations and workflow automation — together hold **~40%+ share**. **Specialists (Smartsheet, Asana, Monday)** target flexible, no-code workflows, growing **15–20% CAGR** in SMB/mid-market. **Monday (~4.5%)** differentiates on UX and ease of adoption but lags in enterprise penetration (<5%) and automation depth.

Overview

Narrative

Thesis

Catalysts

Valuation

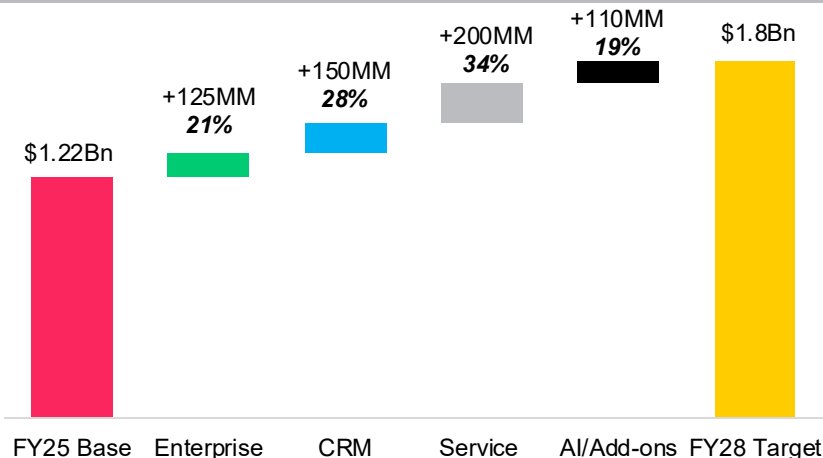
Outlook

The Street's Bullish View on MNDY



The Street's 4 Pillars ⁽¹⁾

Street Assumes Seat Expansion Is Scalable and Sustainable



How the Bull Case Is Sold ⁽¹⁾

Sell-Side Frames Monday as a Cross-Sell Platform, Not a Workflow Tool

WELLS FARGO	"We view Monday.com as one of the few SaaS platforms capable of expanding seat-based growth through workflow automation, enabling sustainable 20%+ ARR growth into FY28."
Goldman Sachs	"Monday.com's Work OS architecture provides a long runway for cross-sell into CRM, Dev, and Service modules, which could together contribute over 30% of incremental ARR by FY28."
UBS	"Our analysis suggests Monday.com is becoming the consolidation winner in mid-market ITSM and CRM workflows, increasingly displacing legacy tools such as ClickUp and Smartsheet."
Morgan Stanley	"At <20x EV/FCF, Monday.com trades at a discount to peers despite superior growth visibility, making it one of the most compelling setups in the SaaS universe."

The Street's Catalysts

Narrative Growth Leans on Repackaged Revenue Buckets

Bigger deals / up-market expansion

Monday's \$100K+ customer cohort continues to expand; mid-tier and enterprise accounts are expected to drive **21–26% YoY revenue growth** through FY 2026 – 2027

New pillars (Service / CRM)

CRM surpassed \$100 M ARR and Service (ITSM) projected to climb from \$28–30 M ARR in 2025 → **~\$210 M by 2028, a >60% CAGR**

Consolidation & cross-sell

Street base case assumes Monday gains **30–40 bps of ITSM share per year** (50–100 bps in mid-market segment) → consistent cross-sell into **60 K 10-seat+ customers**

FY25–28 Forecast: The Numbers Behind the Hype ⁽²⁾

Forecast Math Bakes in Platform Behavior Despite Tool-Like Adoption

Metric	FY25E	FY27E	FY28E	CAGR
Revenue	\$1.2Bn	\$1.8Bn	\$2.1Bn	18-20%
CRM ARR	\$100MM	\$160MM	\$210MM	26%
Service ARR	\$30MM	\$140MM	\$200MM	60%
FCF Margin	27%	29%	30%	+300bps

Analysts view Monday.com as an **underpenetrated platform** with multi-pillar upside. If CRM and Service scale toward \$200M ARR by FY28, Monday could **evolve** from an SMB workflow hub into a **full-stack Work OS platform** with **enterprise-grade** economics.

Overview

Narrative

Thesis

Catalysts

Valuation

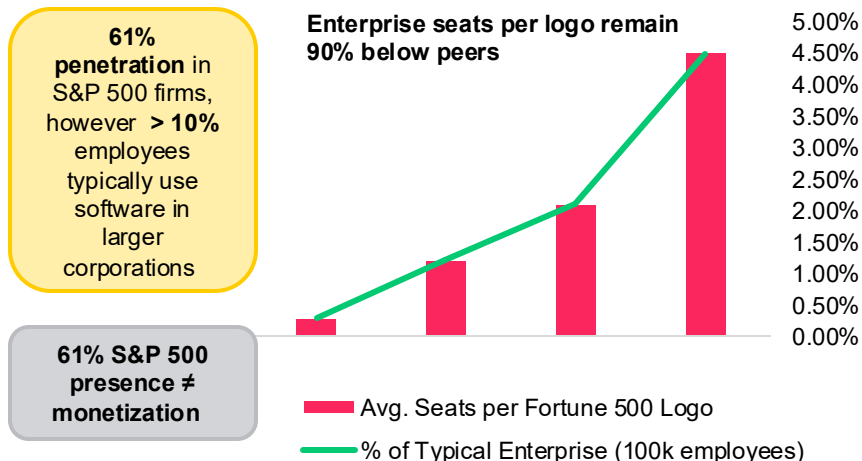
Outlook

Why Monday Can't Escape Its Own Model



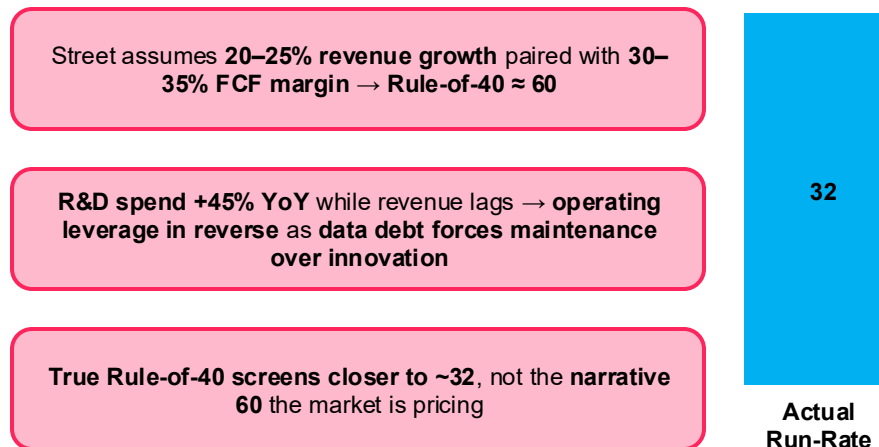
Tiny Footprint in all Large Firms ⁽¹⁾

Logo Presence Without Seat Depth



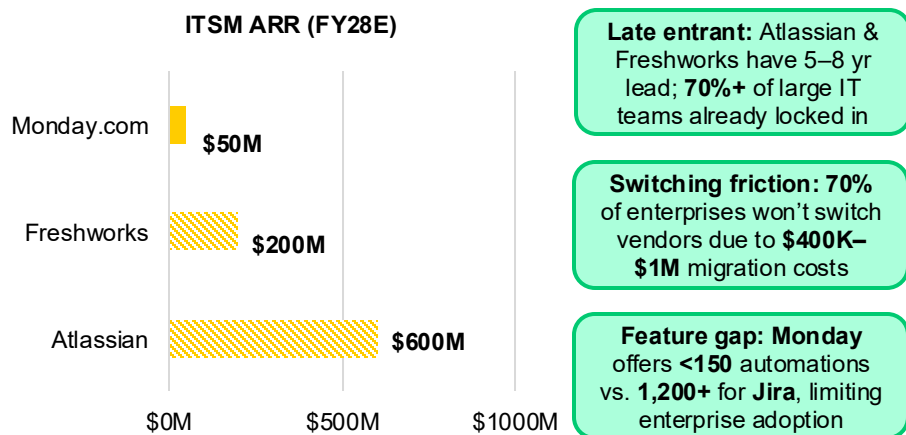
Rule of 40 Mirage

Street Math Ignores OpEx Reality



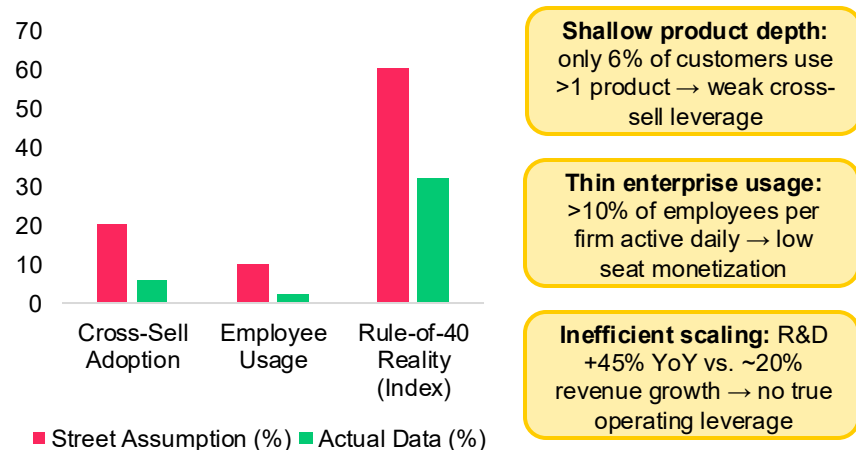
Street's ITSM Target Ignores Competitive Reality ⁽²⁾

TAM Narrative Ignores Competitive Entrenchment



Reality Check: Model Assumptions vs Actuals

AI Can't Scale Without Seat Extension & Cross-Sell



Overview

Narrative

Thesis

Catalysts

Valuation

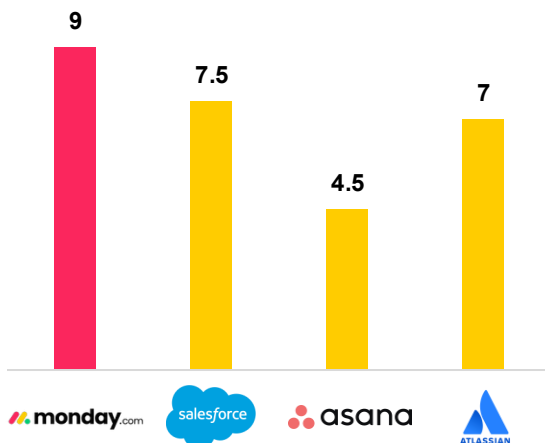
Outlook

“Simple Enough for Anyone to (Ab)use”



High Pressure, Low Performance

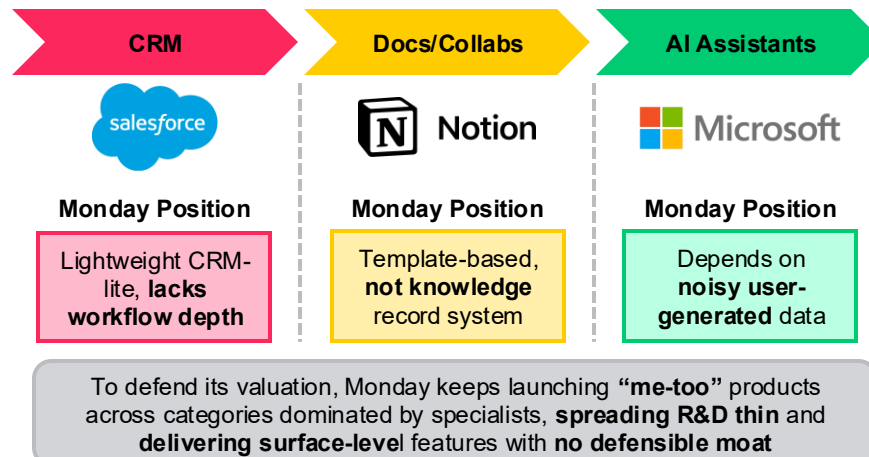
Abnormally High P/S Ratio Places Pressure on Monday.com



At ~9× P/S, Monday.com is valued like an enterprise AI leader, yet its free-form input model produces **noisy, low-fidelity data**, hardly the foundation of a scalable AI monetization engine

Jack of All Trades, Master of None

Monday's Diversification Strategy Produces Unmeaningful Results



The Ultimate Sacrifice: Quality for Content ⁽¹⁾

Monday is Trying to Build an Empire on a Weak Foundation

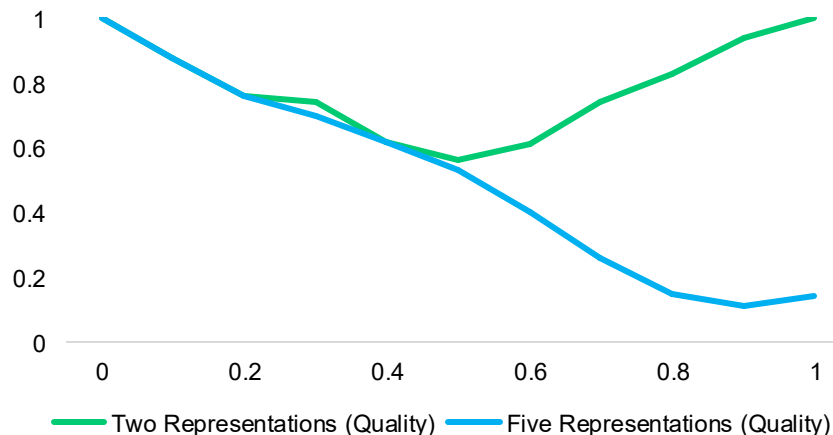
Monday's open-ended, **no-code design** leads to **highly fragmented and inconsistent data schemas** across customers, undermining AI model reliability

The Resulting Cracks

AI models, particularly those powering features like Monday Magic **cannot reliably learn or infer** intent at scale because there is **no uniform context**

With data being manually and often inconsistently inputted by thousands of users, Monday.com's platform **generates a high volume of unstructured, incomplete, and duplicated data**

Degree of Pollution vs Quality



Overview

Narrative

Thesis

Catalysts

Valuation

Outlook

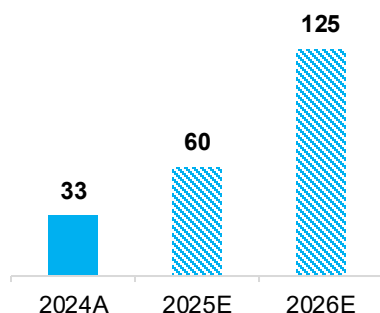
MNDY's Growth Illusion



Product Launches Dilute Brand

New Product Overlays ⁽¹⁾

Our Commentary



"New deals landing larger, from **quantity to quality** – 2025 Investor Presentation

- MNDY claims that new product offerings is the optimal solution for growth
- However, as it stands, less than one-tenth of their customer base uses more than one product anyway

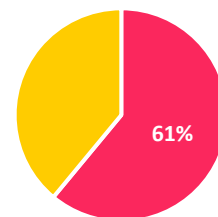
Cross-Selling Struggle ⁽¹⁾

6%

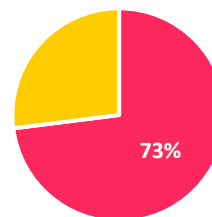
Customers Who Use 2 or More monday.com Products (2024)

Enterprise is MNDY's Growth Factor?

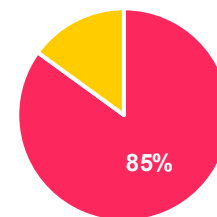
% of Fortune 500 Companies Using Work Management Platforms ⁽²⁾



monday.com



asana



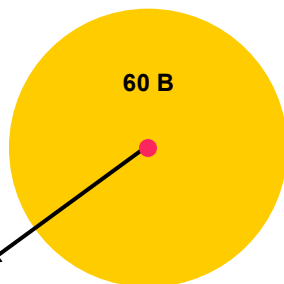
smartsheet

"The firm **trails** competitors on enterprise adoption...and is **exposed** to the **less sticky** Small and Medium-sized Businesses market" – Morningstar

TAM is Woefully Off

TAM by Actual Usage and Cross Sell Reality

■ Narrative TAM
■ Our TAM



$$60 \text{ B} * 6\% = 3.6 \text{ B}$$

ChatGPT Usage:
We queried ChatGPT to model an adjusted TAM using real product adoption data instead of management TAM narrative, revealing a realistic TAM of \$3.6B vs. the \$60B consensus figure.

Monday.com **inflates** TAM by layering adjacent categories **without proving** product-market fit or depth of usage, only ~6% of users adopt more than one product, signaling **narrative TAM versus realized TAM**

KPI Disappearances Are Not a Coincidence

ChatGPT-forensic scan reveals KPI disappearance pattern

	2022	2024	
TAM	Fully broken out	Rolled up into single TAM	🚩
Attach Rate	Mentioned + visual slide	No mention	🚩
Expansion	Mentioned 12+ times	Mentioned <3 times	🚩

When a KPI vanishes, it's rarely because it's improving...

Overview

Narrative

Thesis

Catalysts

Valuation

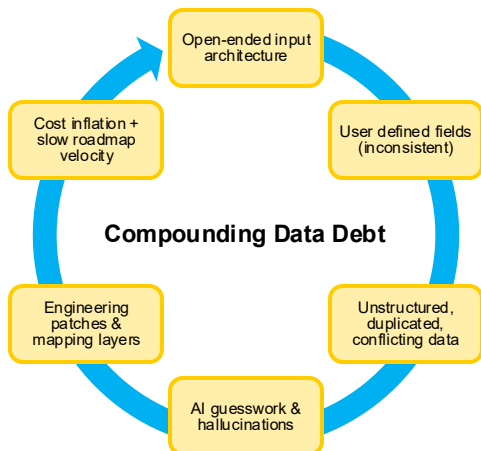
Outlook

Monday.com: Data Platform or Dumping Ground?



Every New User Adds Entropy, Not Intelligence

Growth vs Intelligence Conversion



ChatGPT Usage:
GenAI comparison of 2022–2025 platform structure shows field name drift, duplication, and schema variance in >70% of boards, signaling unmanaged data debt, AI must infer rather than learn, increasing hallucination

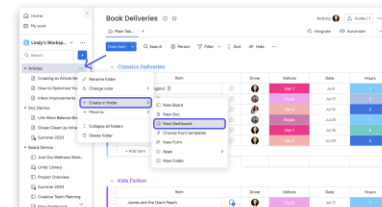
Growth adds revenue, but it also **adds entropy**: data debt compounds

Key Details to Watch Out For...

A common problem across AI platforms is the **sacrifice of quality for more inputs**

This poses as a major threat to Monday, as consumers would have to **sacrifice the quality of their outputs** to input the amount of necessary information

Will companies be willing to sacrifice quality for marginal efficiency improvements?



Consequences of Data Debt

Structural Setbacks That Prevent AI Monetization



Monday's open-ended design creates **constant patchwork** for engineers, **slowing roadmap** velocity, each new user adds **data chaos**, compounding data debt instead of product intelligence.



Monday AI is **trapped** inside its own silo and **can't learn** from tools like Slack or Zendesk, leaving it **shallow** and **limiting enterprise monetization**

This data debt acts as a **hidden liability**, AI ROI declines as the platform scales; growth adds revenue but **erodes intelligence per user**

Data Debt + Closed Ecosystem = AI Value Ceiling

AI Trapped in Monday's Ecosystem



Competitors



AI cannot ingest external enterprise knowledge

No data transfer

Monday's competitors allow for seamless data transition from external sources

Only indexes Monday-native fields; **cannot semantically ingest outside info**

Overview

Narrative

Thesis

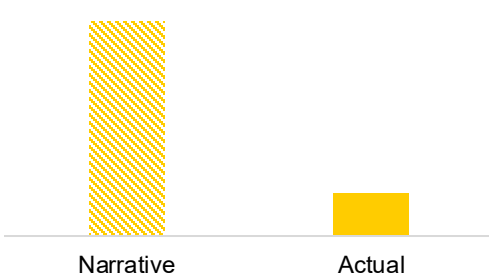
Catalysts

Valuation

Outlook

Near Term: AI Usage KPI Omission on Earnings Call

Narrative Stress Begins

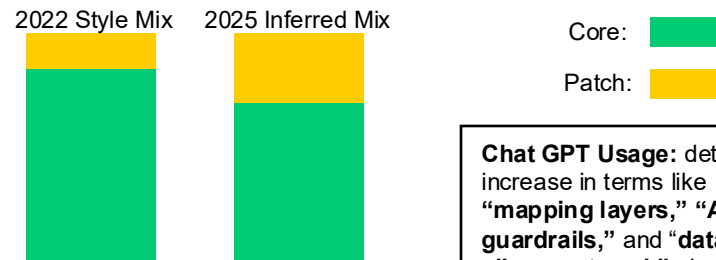


The absence of AI usage KPIs sets up a near-term break point, once analysts ask question KPI's the **narrative/usage gap becomes visible**, risking sentiment shift/multiple compression

Chat GPT Usage: We analyzed Monday.com's disclosures, user forums, and SaaS adoption norms. GenAI flagged that unlike **peers** who **report attach-rate** once AI usage passes **~30%**, Monday.com discloses no engagement metrics. Low AI mention frequency in community threads supports the inference that real usage likely sits in the **~15–20% exploratory range**, a **narrative>usage** signal

Mid Term: Rising Engineering Spend/Margin Drag ⁽¹⁾

Operating Leverage Reverses



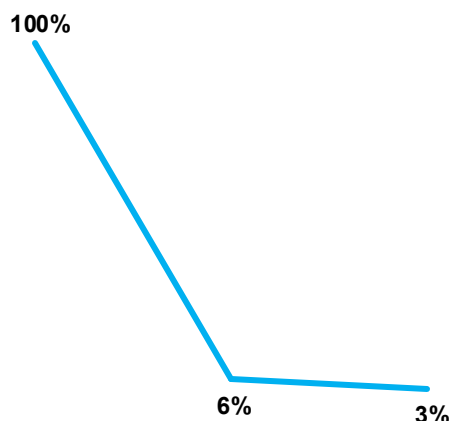
Core:
Patch:

As **patch-related engineering costs** rise, Monday's **gross margin** expansion **stalls**; analysts will question why an "AI platform company" isn't showing operating leverage putting **pressure on multiple**

Chat GPT Usage: detected an increase in terms like "**mapping layers**," "**AI guardrails**," and "**data alignment work**", language typical of maintenance cycles, not innovation. This shift signals rising **patch cost burden**, a precursor to **margin drag** and **slower feature rollout velocity**

Long Term: Enterprise Churn & Product Moat Failures

Chat GPT Usage: Moat Stress Scan



ChatGPT Usage: We used Chat GPT to compare Monday.com's historical product adoption language with current disclosures. The model detected that after expansion stalled around **~6%**, mentions of "platform lock-in" and "account depth" vanished from investor communication. GenAI flagged this language drop-off as a moat risk indicator, a sign that true embedded usage may be closer to **3%**, not platform-scale penetration.

Risks

AI Trapped in Monday's Ecosystem

Narrative Risk: AI Label Stickiness
Retail/momentum investors may continue rewarding AI branding even without underlying adoption metrics, delaying multiple compression despite weak fundamentals

Upside Risk: AI Architecture
If Monday fully rebuilds schema with enforced structure, AI efficacy could improve, low probability given cost

Acquisition/Strategic Buyer Risk:
A larger platform player (Atlassian, Adobe) could acquire Monday.com for distribution rather than AI precision, introducing upside risk independent of fundamentals

Narrative hype, a late architectural fix, or a takeout bid may extend the story, but unless someone pays to unwind the data debt, these remain delays, not defenses against the core short.

Valuation



MNDY isn't the Alpha Story Everyone is Talking About...

monday.com Ltd. (NASDAQ: MNDY)

(\$ in thousands, except per share data)

Discounted Cash Flow	2023	2024	1 2025E	2 2026E	3 2027E	4 2028E	5 2029E
Revenue	729,695	971,995	1,224,624	1,449,775	1,633,758	1,797,134	1,958,876
Y/Y Change %		33.2%	26.0%	18.4%	12.7%	10.0%	9.0%
Operating income	(38,585)	(21,034)	(25,559)	(53,642)	(60,449)	(62,900)	(9,794)
Operating margin %	(5.3%)	(2.2%)	(2.1%)	(3.7%)	(3.7%)	(3.5%)	(0.5%)
Taxes	(5,203)	(2,094)	(791)	378	207	214	2,447
Tax-affected operating income	(43,788)	(23,128)	(26,351)	(53,263)	(60,242)	(62,686)	(7,347)
(+) Depreciation and amortization	9,023	11,874	14,345	17,397	19,605	21,566	23,507
(-) Change in net working capital	98,727	95,972	(184,167)	95,998	70,057	42,257	43,120
(-) Purchase of PPE	(7,901)	(13,211)	(19,221)	(21,747)	(24,506)	(26,957)	(29,383)
Unlevered free cash flow	(125,591)	(94,015)	191,383	(110,118)	(86,187)	(56,420)	2,422
Discount factor			1.13	1.27	1.43	1.62	1.82
Present value of unlevered free cash flow	(125,591)	(94,015)	215,795	(140,002)	(123,555)	(91,199)	4,415

Assumptions	Valuation
Risk-free rate 1	4.1%
Equity market risk premium 2	4.3%
Cost of debt 3	0.0%
Tax rate 4	23.0%
% debt	0.0%
% equity	100.0%
Equity beta	2.01
Cost of equity	12.8%
WACC 5	12.8%
	Sum of future cash flows (134,546)
	PV of TV 14,031
	Enterprise value (120,515)
	(-) Net Debt (1,590,515)
	Equity value 1,470,000
	Diluted shares outstanding 53
	Implied share price 27.59
	Current share price 185.40
	Implied upside (downside) (85.1%)

Perpetuity Growth Method	
2029 unlevered free cash flow	2,422
2030 unlevered free cash flow	2,495
WACC	12.8%
Terminal growth (g)	3.0%
Terminal value	25,573
Present value of terminal value	14,031

Valuation Notes

- 1 Risk-free Rate: U.S. 10YR Treasury Yield
- 2 Equity Market Risk Premium: Aswath Damodaran ERP
- 3 Cost of Debt: monday.com has no outstanding debt
- 4 Although monday.com's effective cash tax rate is much lower, we used a standard 23% to be conservative
- 5 WACC = cost of equity because the company is 100% equity-financed

Going Forward

Although our valuation has a steep downside, we believe our assumptions hold true. We are confident that the company's fundamentals and subsequent forecasted cash generation are well below what the street believes. We see substantial downside through our qualitative reasoning, which is backed by our quantitative analysis. The market will realize this on our 2 year investment horizon

We are actively conducting further analysis and looking into even more granular assumptions to ensure thorough financial analysis

Overview

Narrative

Thesis

Catalysts

Valuation

Outlook

Outstanding Diligence



What We'll Be on the Lookout For

Key Question: Can monday.com actually drive multi-product adoption?

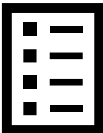
- Scrape/track App Store & G2 reviews for monday.com CRM, Dev, and Service to see adoption momentum or stagnation vs. core Work Management
- Monitor 2+ product adoption disclosures in earnings — even small upticks (6% → 8–10%) will be used as proof of traction
- Ask resellers or channel partners how much of new demand is Work Management add-ons versus genuine new product sales
- Compare feature overlap with Atlassian's Jira Service Management and Smartsheet to gauge differentiation or cannibalization risk
- Track LinkedIn hiring and job postings for product-specific sales or marketing roles (e.g. "Monday CRM specialist") as a proxy for which products are seeing real investment and traction

Proprietary Research



Conduct Qualitative Interviews

Speak with current/former monday.com users to understand real adoption patterns



Send out Survey

To get the most outreach with the most volume, we would survey project managers to obtain opinions on the best tools

Meet with Management



Roy Mann
Co-Founder &
Co-CEO



Eran Zinman
Co-Founder &
Co-CEO



Eliran Glazer
CFO

A management meeting would clarify whether monday.com's growth engine is **self-reinforcing** or **self-exhausting**, specifically, whether cross-sell, AI, and enterprise expansion can truly reaccelerate growth

On the Horizon

Event	Date	Why it Matters
Q3 2025 Earnings Call	November 10, 2025	Key data point for AI monetization progress
Q4 2025 Earnings Release & FY 2025 Results	February 2026 (estimated)	First full-year view post-buyback; tests sustainability of "Rule of 60"
monday Elevate 2025 Annual conference	Late 2025	Company's flagship user event – often includes major AI feature or platform announcements

Overview

Narrative

Thesis

Catalysts

Valuation

Outlook